

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SANTA FE DISCOUNT CRUISE PARKING, INC., D/B/A EZ
CRUISE PARKING; LIGHTHOUSE PARKING INC; AND SYLVIA
ROBLEDO D/B/A 81ST DOLPHIN PARKING, *Complainants*

DOCKET NO. 14-06

v.

THE BOARD OF TRUSTEES OF THE GALVESTON WHARVES;
AND THE GALVESTON PORT FACILITIES CORPORATION,
Respondents.

Served: February 23, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION APPROVING SETTLEMENT AGREEMENT¹

I. INTRODUCTION

On February 7, 2023, remaining Complainant Sylvia Robledo d/b/a 81st Dolphin Parking (“81st Dolphin”) and Respondents The Board of Trustee of the Galveston Wharves (“Board”) and the Galveston Port Facilities Corporation (“GPFC”), filed a document labeled as a Joint Petition for Approval of Partial Settlement (“Motion”). This filing is a joint motion to approve a settlement between the remaining parties, which would conclude this proceeding in its entirety.

As discussed in greater detail below in the procedural history section, Respondent GPFC was dismissed as a party and Complainants EZ Cruise and Lighthouse entered into a settlement with Respondents. Therefore, the remaining parties in this proceeding are Complainant 81st Dolphin and Respondent Board. The parties are also engaged in litigation before the United States District Court for the Southern District of Texas, Houston Division (the “Federal District Court Lawsuit”) which is also resolved as part of this settlement agreement.

This proceeding has been extensively litigated and has a lengthy procedural history. Pertinent portions of the procedural history are summarized below to provide context for this initial decision. For the reasons discussed below, the settlement agreement of the few remaining issues is approved. Although the motion mentioned confidential treatment, the Office of the Secretary confirmed with the parties that they are not seeking confidentiality for the motion or settlement agreement.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227.

II. PROCEDURAL HISTORY

On June 16, 2014, Complainants Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking (“EZ Cruise”), Lighthouse Parking, Inc. (“Lighthouse”), and 81st Dolphin, private owners or operators of parking lots located outside the Port of Galveston, commenced this proceeding by filing a complaint with the Commission, alleging that the Board and GPFC, operators of a cruise ship terminal complex in Galveston Island, Texas, violated 46 U.S.C. §§ 41102(c), 41106(2) and 41106(3) of the Shipping Act of 1984 regarding parking fees charged by the terminal. On October 21, 2014, Complainants filed an Amended Complaint, adding paragraphs regarding a September 22, 2014, amended tariff. Leave to file the amended complaint was granted on November 21, 2014.

On October 21, 2014, Respondents moved to dismiss the complaint and the ALJ granted in part and denied in part Respondents’ motion. *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, Docket No. 14-06, 33 S.R.R. 1283, 2014 FMC LEXIS 31 (ALJ Nov. 21, 2014). The ALJ dismissed with prejudice Complainants’ § 41102(c) and § 41106(3) claims but allowed the § 41106(2) claims to proceed. 2014 FMC LEXIS 31 at *26-*32, *37-*38. Neither party filed exceptions to the ALJ’s order, which then became administratively final, and the parties subsequently filed briefs on the § 41106(2) claims. On December 4, 2015, the ALJ dismissed the claims against Respondent GPFC as well as the § 41106(2) claims. 2015 FMC LEXIS 44 at *3-*4 (ALJ Dec. 4, 2015).

On January 13, 2017, the Commission issued an order affirming the dismissal of the Complaint and the claims against GPFC. 2017 FMC LEXIS 1 (FMC Jan. 13, 2017) (Order Affirming Initial Decision’s Dismissal of Complaint). Complainants EZ Cruise and 81st Dolphin sought review of the Commission’s decision by the United States Court of Appeals for the District of Columbia Circuit (“D.C. Circuit”). On May 11, 2018, the D.C. Circuit granted their petition for review, vacated the FMC Order, and remanded the case to the Commission for further proceedings consistent with the court’s opinion. *Santa Fe Discount Cruise Parking, Inc. v. Fed. Mar. Comm’n*, 889 F.3d 795, 797 (D.C. Cir. 2018).

On August 9, 2018, the Commission remanded the proceeding to the ALJ. *Santa Fe Discount Cruise Parking, Inc. v. The Bd. of Trustees of the Galveston Wharves*, 1 F.M.C. 2d 155 (FMC Aug. 9, 2018) (Order Remanding Proceeding to Administrative Law Judge). On November 16, 2018, the ALJ issued an Initial Decision on Remand (“I.D.R.”). 2018 FMC LEXIS 55 (FMC Nov. 16, 2018). The ALJ found that Complainants had not proven by a preponderance of the evidence that the Port violated section 41106(2), and again dismissed the Complaint with prejudice. 2018 FMC LEXIS 55 at *14-*15. Complainants filed exceptions to the I.D.R.

On April 16, 2021, the Commission issued an Order on Initial Decision on Remand (“Order on I.D.R.”), partially reversing the I.D.R. and remanding the case to the ALJ for further proceedings. 2021 FMC LEXIS 56 at *59-*60 (FMC Apr. 16, 2021). The Order on I.D.R. found that Respondent Board violated 46 U.S.C. § 41106(2) with respect to EZ Cruise and 81st Dolphin; vacated the I.D.R. with respect to attorney fees; affirmed the dismissal of all other claims, including the dismissal of GPFC in the I.D.; and, remanded the case to the ALJ to determine an appropriate reparations award. 2021 FMC LEXIS 56 at *82.

On April 20, 2021, a Notice was issued, reassigning this proceeding to the undersigned due to the retirement of the ALJ previously adjudicating this proceeding. In addition, an Order Requiring Joint Status Report (“April 20, 2021, Order for JSR”) was issued the same day, instructing the parties to file a joint status report with proposed schedule. Order Requiring Joint Status Report (ALJ April 20, 2021).

On May 17, 2021, prior to the filing of the joint status report, Respondent Board filed a Petition for Reconsideration and Unopposed Motion for Stay of Proceedings (“Petition for Reconsideration”). The Petition for Reconsideration effectively stayed the proceeding before the ALJ. However, while the Petition for Reconsideration was pending before the Commission, the parties filed their joint status report with proposed schedule on May 24, 2021, and then filed their briefs in conformity with their proposed schedule on June 30, 2021 (Complainants), and July 30, 2021 (Respondent).

On July 26, 2021, Complainants EZ Cruise and Lighthouse and Respondents filed a Joint Petition for Approval of Partial Settlement, requesting approval of a settlement of this proceeding as well as the Federal District Court Lawsuit. On September 10, 2021, the Commission approved the settlement, which left only the claim by Complainant 81st Dolphin remaining.

On June 2, 2022, the Commission issued an Order Granting in Part and Denying in Part Petition for Reconsideration (“Commission Remand Reconsideration Order”). The Commission granted Respondent’s petition on the issue of the correct end-date for recovering reparations and amended the Order on I.D.R. to allow the parties to submit arguments on the correct end-date for calculating reparations on the selective enforcement claim; granted the Board’s request to address the method for calculating reparations on remand; and denied Respondent’s petition as to all other issues. Commission Remand Reconsideration Order at 14-19.

Following service of the Commission Remand Reconsideration Order,² on August 8, 2022, another Order Requiring Joint Status Report (“August 8, 2022, Order for JSR”) was issued to the parties, directing them to discuss whether this proceeding could be settled, and instructing them to file a joint status report with a proposed schedule for briefing the remaining two issues in the proceeding: the correct end-date for calculating reparations on the selective enforcement claim and the method for calculating reparations on remand. August 8, 2022, Order for JSR at 2. On August 23, 2022, the parties submitted a joint status report. On August 30, 2022, a Remand Reconsideration Scheduling Order was issued.

On September 30, 2022, Complainant filed its brief and supporting materials. On October 31, 2022, Respondent filed, together with its brief and supporting materials, an opposed motion seeking leave to include supplemental records regarding decal fees. On November 1, 2022, Complainant filed a response to the motion and an Emergency Motion for Enlargement of Time to File Reply to Respondents’ Reply Brief on Remand. On November 7, 2022, an Order on Supplemental Evidence and Extension of Time was issued, granting Respondent leave to enter supplemental documents regarding decal fees into the record and granting Complainant

² The Commission Remand Reconsideration Order was not served on OALJ until August 4, 2022.

additional time to respond. Order on Supplemental Evidence and Extension of Time at 4-5. On November 22, 2022, Complainant submitted its reply brief on reparations.

On January 9, 2023, an order was issued granting an unopposed motion for a temporary stay while the parties mediated the dispute. On February 7, 2023, remaining Complainant 81st Dolphin and Respondents filed a motion seeking approval of the settlement agreement.

III. DISCUSSION

Using language borrowed in part from the Administrative Procedure Act,³ Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where "time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.75(b). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). "Unless the order states otherwise, a dismissal under this paragraph is without prejudice." 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A AM. JUR. 2D *Compromise and Settlement* § 3 (1976)).

³ "The agency shall give all interested parties opportunity for – (1) the submission and consideration of facts, arguments, offers of settlement, or proposals of adjustment when time, the nature of the proceeding, and the public interest permit." 5 U.S.C. § 554(c).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The parties jointly request approval of the settlement agreement, stating:

In the instant case, the settlement is the result of arm’s-length negotiations between sophisticated Parties, all of whom have been represented by counsel during the negotiation process. The proposed agreement does not contravene any law or public policy, nor is it unjust or discriminatory in any way. Additionally, this agreement will not result in any adverse effects to any third parties or on the shipping public. Indeed, the Parties’ disputes concern “access fees” assessed under Tariff provisions which no longer exist. The proposed settlement is fair and reasonable and reflects the Parties’ desire to resolve their issues without the need for costly and uncertain litigation.

Motion at 5-6.

This proceeding has been pending for an extended period of time and has been the subject of multiple appeals, including to the D.C. Court of Appeals. All of the Complainants have settled except for Complainant 81st Dolphin. The Commission issued an Order on Initial Decision on Remand on April 15, 2021, and an Order Granting in Part and Denying in Part Petition for Reconsideration on June 2, 2022. These Commission orders have narrowed the remaining issue to specific questions with regard to calculating reparations. This settlement agreement is nearly identical to a request approved previously by the Commission with other Complainants in this proceeding.

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The parties have determined

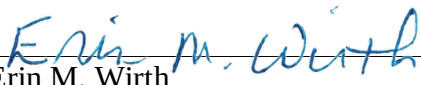
that the settlement reasonably resolves the issues raised in the complaint without the need for additional costly and uncertain litigation. Accordingly, the settlement agreement is approved.

IV. ORDER

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the request to approve the settlement between 81st Dolphin Parking and The Board of Trustee of the Galveston Wharves be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITHOUT PREJUDICE**.


Erin M. Wirth
Chief Administrative Law Judge